

Alphabet Inc.

GOOGL NASDAQ

Buy	\$340.40 ▲ 2.35%	12M Price Target \$385.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.16T
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GOOGL: Antitrust Overhang Lifting, AI Momentum Real

WHAT HAPPENED

- GOOGL popped 2.35% to \$340 on a light-volume day (only 11.7M shares vs. usual 23M+) — that's a "melt-up" pattern, meaning buyers stepped in without heavy selling pressure. The catalyst: a surprise soft inflation print pushed the whole market up, and mega-cap tech got the biggest lift because lower inflation = higher chance of Fed rate cuts = higher valuations for growth stocks.
- Options flow is screaming bullish — the put/call ratio is 0.35 (way below 1.0, meaning traders are buying nearly 3x more calls than puts), and there's unusual call buying at \$340, \$337.50, and \$345 strikes expiring this month. Someone with money is betting on more upside in the next couple weeks.

WHY IT MATTERS

The bigger story here is that Alphabet's antitrust overhang is quietly lifting. The DOJ Search remedy case ended with a much lighter penalty than feared (no Chrome divestiture), and the market is finally rerating GOOGL from "regulatory piñata" to "AI winner with a moat." That Yahoo headline about a Republican midterm "wipeout" matters too — if Democrats take back Congress in November, expect a more aggressive antitrust posture from the FTC/DOJ, which would be a headwind for all of Big Tech but especially GOOGL and META. The Oracle earnings chatter about "concentration risk" is actually a backdoor bull case for Alphabet: enterprises worried about being locked into one AI vendor are increasingly running multi-cloud, and Google Cloud is the beneficiary of that "hedge against OpenAI/Azure" trade.

POLICY & POLITICAL WATCH

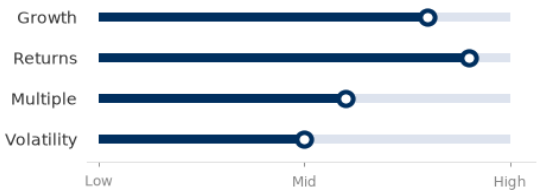
The three policy vectors to watch: (1) The bipartisan AI infrastructure/permitting bill circulating in Congress — if it passes, it fast-tracks data center construction and power grid buildout, which directly helps Google Cloud expand capacity to meet Gemini demand. (2) Midterm elections in November — a Democratic sweep raises the odds of renewed antitrust action and a possible Section 230 rewrite (which governs platform liability for user content — bad for YouTube). (3) The ongoing China chip export debate — Alphabet designs its own TPU chips but still relies on TSMC in Taiwan, so any Taiwan-related tariff escalation hits their AI capex plans. Net: policy is roughly neutral-to-positive short term, but the November election is the swing factor.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$340.40
12M Price Target	\$385.00
Upside / (Downside)	+13.1%
Market Cap	\$4.16T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$348.00	\$320.00
6 Months	\$400.00	\$370.00	\$300.00
1 Year	\$440.00	\$385.00	\$285.00
2 Years	\$520.00	\$440.00	\$260.00
5 Years	\$750.00	\$580.00	\$300.00
10 Years	\$1200.00	\$850.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.4%) and Comm Services (+1.2%) are leading today on the soft inflation print — classic "rate-cut trade" where long-duration growth assets benefit most from lower discount rates.

COOLING OFF: Financials and Consumer Discretionary are lagging on the 5-day view, suggesting the market is worried about consumer spending and net interest margins if rates fall.

ROTATION WATCH: Money is rotating out of cyclical and into mega-cap tech/AI names as investors position for a Fed cut cycle — GOOGL benefits directly from this because it's the "safe AI" trade (profitable, cash-generative, cheaper than peers).

RELATED PLAY: If you believe the AI capex cycle continues, the picks-and-shovels plays are the winners — think NVDA (chips), VRT (data center cooling), and utility names with data center exposure like CEG or VST.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): New iPhone lineup driving upgrade cycle enthusiasm; hardware buyers showing up even without breakthrough AI features.
- ORCL (Oracle): Earnings beat on cloud infrastructure demand, though concentration risk in a few big AI customers is a concern investors are debating.

GOOGL CONTEXT: Alphabet is roughly in line with mega-cap tech peers today but has been a laggard over the past year — meaning if the antitrust cloud lifts fully, there's catch-up upside relative to MSFT and META. The setup for GOOGL is better than most of its peers because expectations are lower and the valuation is cheaper.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$325-332 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Forced Chrome/Android divestiture ruling, or two consecutive quarters of Search revenue decline

Hedging: Small put spread or pair against an expensive AI pure-play like ORCL